

FIRST AMENDMENT TO LEASE

This First Amendment to Lease ("First Amendment") is made this 21st day of August, 2024, by and between **Broadmont Investments, LLC** ("Lessor"), and **TDIndustries, Inc.** ("Lessee").

RECITALS

- A. Lessee and Lessor entered into that certain Lease dated, for reference purposes only, February 18, 2022, (the "Lease") of certain premises containing approximately 6,760 square feet of rentable space on approximately 24,710 square feet of land and further described as tax parcel number 132-04-206J, located at 3631 South Broadmont Drive, Tucson, Pima County, Arizona (the "Leased Premises") which Leased Premises and the complex which they are located (the "Complex") are more particularly described in the Lease.
- B. The Leased Premises is comprised of 6,760 square feet and the Term of the Lease expires on February 28, 2025. Lessee is in possession of the Leased Premises. Lessor and Lessee desire to amend the Lease to extend the Term of the Leased Premises and to change the rent due and payable under the Lease as a result thereof.

NOW, THEREFORE, for and in consideration of the covenants and agreements herein contained, and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties agree to the following:

1. Confirmation: Lessee acknowledges and agrees that: (a) Lessee is in sole possession of the Leased Premises demised under the lease; (b) all work, improvements and furnishings required under the Lease have been completed and accepted by Lessee; (c) all free rent and any other concession required under the lease have been granted, used and otherwise satisfied; and (d) it has no offset, claim, recoupment or defense against the payment of rent and other sums and the performance of all obligations of Lessee under the Lease.
2. Extended Term: Section 1.4 of the Lease is amended to provide that the "Term" shall be amended to expire on February 28, 2027.
3. Minimum Rent: Section 1.5 of the Lease is amended to provide that the Minimum Rent shall be as follows:

March 1, 2025 – February 28, 2026	@	\$5,746.00 per month*
March 1, 2026 – February 28, 2027	@	\$5,918.38 per month*

(* plus rental tax, currently at 3.1 percent, operating expenses, and property insurance)

4. Options to Renew: Lessor hereby grants to Lessee Two (2) option(s) (the "Option(s)") to extend the Lease Term for additional term(s) of one (1) year each (the "Extension(s)"), with the rental rate at the prevailing market rate as of the last year of the primary term including any and all concessions. Each Option shall be exercised only by written notice delivered to Lessor at least six (6) months before the expiration of the Lease Term or the preceding Extension of the Lease Term, respectively. If Lessee fails to deliver Lessor written notice of exercise of an Option within the prescribed time period, such Option and any succeeding Options shall lapse, and there shall be no further right to extend the Lease Term. Each Option shall be exercisable by Lessee on the express conditions that (a) at the time of the exercise, and at all times prior to the commencement of such Extension, Lessee shall not be in default under any of the provisions of the Lease and (b) Lessee has not been ten (10) or more days late in the payment of rent more than a total of three (3) times during the Lease Term and all preceding Extensions.

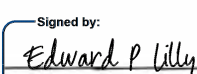
5. Real Estate Brokers: The following real estate brokers (collectively, the “Brokers” and brokerage relationships exist in this transaction and are consented to by the Parties:

Lessor’s Broker: CBRE, Inc. (Tim Healy)
Lessee’s Broker: Picor Commercial Real Estate Services and Stream Realty (Stephen Cohen and Todd Noonan)

6. Except as specifically set forth herein, all other terms, conditions and provisions of the lease are hereby ratified and reconfirmed. This Amendment shall be incorporated as a part of the lease by this reference.

IN WITNESS WHEREOF, the parties have executed this Amendment to lease on the day first above stated.

LESSOR:
Broadmont Investments, LLC,
an Oregon limited liability company

By: 
Signed by:
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Title: Manager

Date: 8/22/2024

LESSEE:
TDIndustries, Inc.,
a Texas corporation

By: 

Title: Vice President

Date: AUGUST 21, 2024